Nepal Rastra Bank Act 2058
(नेपाल राष्ट्र बैङ्क ऐन, २०५८)

Upto Latest Amendments



By CA Govinda Tamang

NEPAL RASTRA BANK ACT, 2058

Act No. 15 of the Year 2058

Date of Authentication and Publication:
17 Magh 2058



AMENDED BY:

1. Nepal Rastra Bank (First Amendment) Act, 2063 (2063.7.23)
2. Republic Strengthening and Certain Nepal Laws Amendment Act, 2066 (2066.10.7)
3. Amendment of Certain Nepal Laws Act, 2072 (2072.11.13)
4. Nepal Rastra Bank (Second Amendment) Act, 2073 (2073.7.29)
5. Amendment, Integration, Adjustment and Repeal of Certain Nepal Laws Act, 2074 (2074.6.30)
6. Amendment, Integration, Adjustment and Repeal of Certain Nepal Laws Act, 2074 (2075.12.4)
7. Amendment of Certain Nepal Laws Relating to the Civil Code Act, 2075 (2076.1.2)
8. Amendment of Certain Acts Relating to Prevention of Money Laundering and Promotion of Business Environment Act, 2080 (2080.12.30)
9. An Act to Amend Certain Nepal Acts Relating to Cooperatives, 2081 (2081.12.18)

PURPOSE

To establish a Nepal Rashtra Bank as the Central Bank to maintain the stability of price and balance of payment and stability of the entire financial sector to support the sustainable development of Nepal.



- Price Stability
- Balance of Payments
- Financial Sector Stability
- Sustainable Development of Nepal

KEY HIGHLIGHT

The Act establishes the Nepal Rashtra Bank as the Central Bank to maintain price stability, balance of payment and financial sector stability, and to support the sustainable development of Nepal.



Disclaimer: Nepal Rastra Bank (3rd Amendment) Bill, 2083 is currently in Parliament undergoing discussion, once enacted, amendments shall be covered separately.

Chapter 1
Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

SECTION 2 DEFINITIONS

(f) "COMMERCIAL BANK"



means a commercial bank established under the prevailing laws.

(g) "FINANCIAL INSTITUTION"



means a financial institution established under the prevailing laws with the objectives of providing loans for agricultural, cooperative, industrial or any other specific economic purpose or of collecting deposits from the general public, and this term also includes an institution prescribed as a financial institution by the Government of Nepal upon publishing notice in the Nepal Gazette.

(h) "MONEY"



means all types of currency notes, postal orders, postal notes, money orders, cheques, drafts, traveler's cheques, letters of credit, bills of exchange, promissory notes and credit cards, and this term also includes similar types of monetary instruments as the Bank may prescribe.

(i) "CURRENCY NOTE"



means the bank note in circulation in the form of cash, and this expression also includes coin.

(j) "FOREIGN CURRENCY"



means currency other than Nepalese currency, and includes special drawing rights on the IMF, Asian Currency Units, European Currency Units, and other instruments as the Bank may prescribe.

SECTION 2 DEFINITIONS

(m) "FOREIGN EXCHANGE"



means foreign currency and all types of deposits, credits, stocks, foreign securities, and negotiable instruments payable in foreign currencies, and any other instrument prescribed by the Bank.

(n) "FOREIGN EXCHANGE TRANSACTION"



means the acts of purchase and sale of foreign exchange, borrowing, giving credits, accepting or providing foreign exchange, and the act of granting approval for foreign exchange by the Bank.

(q) "SECURITIES"



means shares, stock, bonds, debentures, debenture stocks, certificates of unit/collective savings schemes (mutual funds), or transferable certificates of deposit issued by a corporate body, and includes related pledges and interests as notified.

(r) "NEGOTIATION"



means transferring an instrument to a person entitled to hold negonegotiable instruments, to become a bearer.

(s) "NEGOTIABLE BILL OF EXCHANGE"



means a letter of credit, bill of exchange, or cheque.

(t) "BILL OF EXCHANGE"



means an unconditional written order requiring payment of a certain sum to a specified person or bearer.

(u) "PROMISSORY NOTE"



means an unconditional written undertaking to pay a fixed amount to a specified person or bearer.

(w) "CREDIT"



means a direct or indirect promise to invest money, the right to recover investment with interest or charges, refinance, restructuring/renewal of credit, guarantees of repayment, and any type of debt.

Chapter 2 Establishment, Objectives and Functions, Duties and Powers

Section 3: Establishment of the Bank
Section 4: Objectives of the Bank
Section 5: Function, Duties and Powers of the Bank
Section 6: Prior Right of the Bank
Section 7: Functions not to be Carried out by the Bank
Section 8: Privileges and Facilities to the Bank
Section 9: Relation between the Government of Nepal and the Bank
Section 10: Coordination with Public Bodies
Section 11: International Cooperation and Relationship
Section 12: Flow of Public Information
Section 13: Operation of Accounts

NEPAL RASTRA BANK ACT

SECTION 3: ESTABLISHMENT & SECTION 4: OBJECTIVES OF THE BANK

SECTION 3: ESTABLISHMENT OF THE BANK

- Nepal Rastra Bank shall be established as the Central Bank of Nepal.
- Nepal Rastra Bank established under the Nepal Rastra Bank Act, 2012 (1955) shall be deemed established under this Act.
- The Bank shall be an autonomous corporate body with perpetual succession and a separate seal.
- Subject to this Act, the Bank may acquire, utilize, retain, sell, dispose of and manage movable and immovable property.
- The Bank may sue and be sued in its own name.
- The Central Office shall be in Kathmandu, and the Bank may establish offices within or outside Nepal and appoint agents or representatives as required.

SECTION 4: OBJECTIVES OF THE BANK

- Formulate and implement **monetary and foreign exchange policies** to maintain **price stability** and **balance of payments stability** for economic stability and sustainable economic development.
- Maintain stability of the banking and financial sectors to increase access to financial services and public confidence in the and monetary system.
- Develop a secure, healthy and efficient payment system.
- Cooperate in implementing Government of Nepal's economic policies without prejudicing the objectives under Section 4(1).

NEPAL RASTRA BANK:
FUNCTIONS, DUTIES AND POWERS

- To issue banknotes and coins.



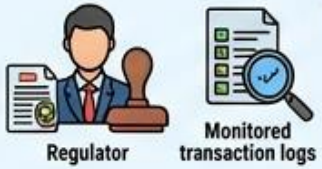
- To formulate and implement monetary policies for maintaining price stability.



- To formulate and implement foreign exchange policies, determine the foreign exchange rate system, and manage and operate foreign exchange reserves.



- To license commercial banks and financial institutions and regulate, inspect, supervise and monitor their banking and financial transactions.



- To issue directives and standards for regulation, inspection and supervision of cooperative organisations engaged in savings and loan transactions.



- At the request of the Department of Cooperatives, to regulate, inspect and supervise cooperative organisations having share capital exceeding Rs. 50 million or annual turnover exceeding Rs. 50 million based on financial governance and risk, exercising powers under prevailing cooperative laws.



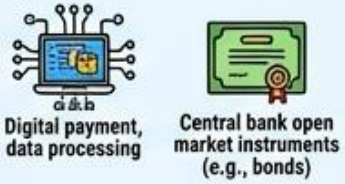
- To act as banker, advisor and financial agent of the Government of Nepal.



- To act as banker of commercial banks and financial institutions and function as the lender of last resort.



- To establish, promote and regulate payment, clearing and settlement systems and conduct open market operations through necessary instruments for liquidity management.



- To perform any other functions necessary to achieve the objectives of the Bank under this Act.



- While exercising powers under this Act or any other prevailing law, the Bank may perform incidental functions and take necessary actions.



- No person shall violate the powers conferred on the Bank under this Act.



SECTION 6: PRIOR RIGHT OF THE BANK

PRIOR RIGHT TO BORROWER'S ASSETS

- For recovery of any loan or other claim, the Bank shall **have prior right over cash deposited by the borrower** with the Bank, any commercial bank or financial institution, and over the borrower's movable and immovable property.

RECOVERY METHOD

- The Bank may recover its loan by **taking custody of the cash or property over** which it has prior **right** and selling such property as prescribed.

SECTION 7: FUNCTIONS NOT TO BE CARRIED OUT BY THE BANK

GENERAL PROHIBITIONS

- Except as otherwise provided in this Act, the Bank shall not provide loans, accept deposits or make financial gifts.
- The Bank shall not purchase shares of, or acquire proprietary rights in, any commercial bank, financial institution, public corporation, company or any financial, commercial, agricultural, industrial or other institution.
- The Bank shall not carry on any trade.
- The Bank shall not acquire movable or immovable property by purchase, lease or any other means, except property required for carrying out its functions or achieving its objectives.

PERMITTED INVESTMENTS (EXCEPTIONS)

- Notwithstanding Section 7(1), the Bank may provide loans to and invest in shares of institutions supporting its functions or objectives, subject to a maximum investment of 10% of the total capital of such institutions.

10%

SUCH INSTITUTIONS INCLUDE:

EXAMPLES OF PERMITTED INSTITUTIONS

- SECURITY VALUATION
- MANAGEMENT
- PROTECTION
- RESTRUCTURING AND TRANSFER
- CREDIT RATING
- CREDIT CREDIT INFORMATION EXCHANGE
- DATA PROCESSING AND TRANSMISSION
- PRINTING FINANCIAL INSTKUMENTS
- PAYMENT CLEARING
- ASSET LIQUIDATION
- BANKNOTE AND COIN PRODUCTION
- TRUSTEE SERVICES
- and other similar institutions prescribed by the Bank

The Bank may provide loans to its own employees.

SECTION 8:
PRIVILEGES AND FACILITIES TO THE BANK



- Notwithstanding anything contained in prevailing laws, the Bank shall be exempt from all taxes, fees and charges relating to income, capital transactions, houses, land and other assets.



- No registration fee shall be payable for registration of deeds relating to loans or refinance provided by the Bank.

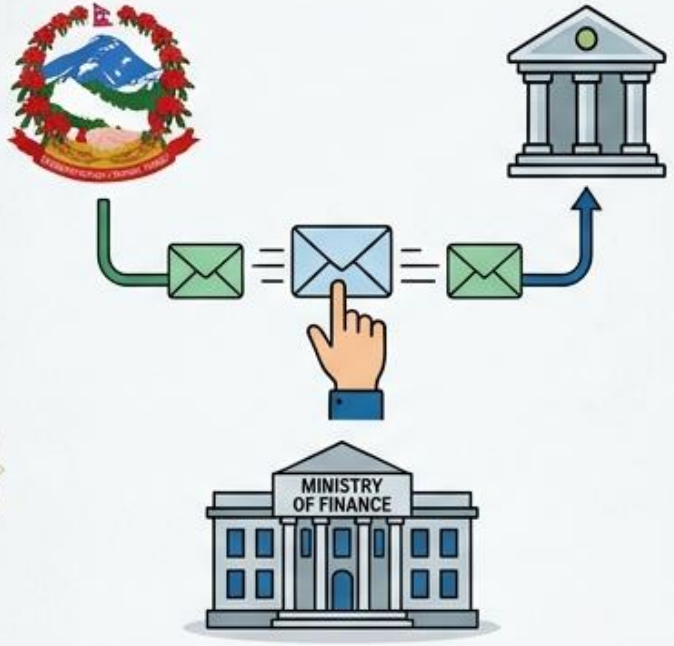


- No revenue stamps shall be required on documents relating to the Bank.



- No tax, fee, charge or duty shall be levied on the import or export of banknotes, coins, gold, silver, paper, metal, chemicals and other materials used for printing banknotes and minting coins.

SECTION 9:
RELATION BETWEEN THE GOVERNMENT OF NEPAL AND THE BANK

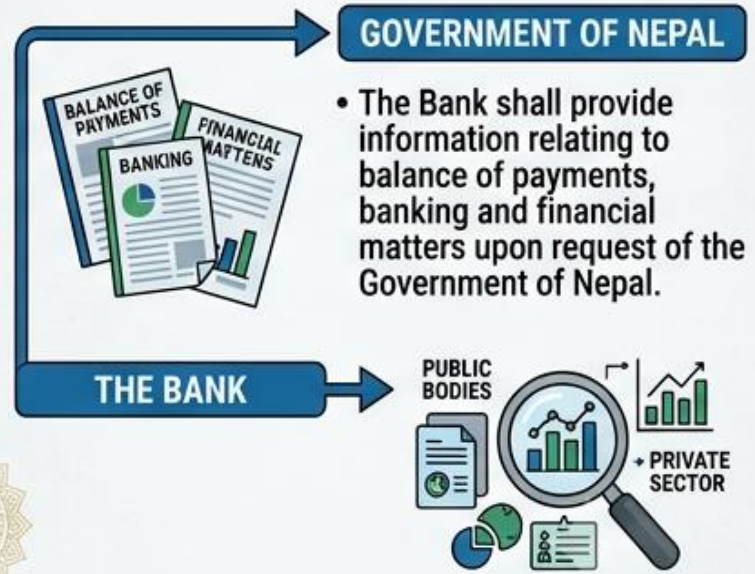


- All communications between the Government of Nepal and the Bank under this Act shall be made through the Ministry of Finance.

SECTION 10:
COORDINATION WITH PUBLIC BODIES



- The Bank may coordinate with public bodies, their agencies and organs as necessary to achieve its objectives.



- The Bank shall provide information relating to balance of payments, banking and financial matters upon request of the Government of Nepal.

- The Government of Nepal, public bodies and the private sector shall provide economic and financial information requested by the Bank.

FINANCIAL SECTOR ACT: SECTIONS 11, 12, & 13

SECTION 11: INTERNATIONAL COOPERATION AND RELATIONSHIP



Fictional organisations

Nepal's representative at international forums

- Text points on monsters,
- foreign exchange, etc.



Joining stability groups



Providing banking services to other entities



Discharging national duties

SECTION 12: FLOW OF PUBLIC INFORMATION



Publishing reports



Disseminating information

SECTION 13: OPERATION OF ACCOUNTS



ALLOWED



procédures prescribed by the Bank

NOT ALLOWED



procedures prescribed by the Bank

Chapter 3 Formation and Functions, Duties and Powers of the Board

Section 14: Formation of the Board
Section 15: Appointment of the Governor
Section 16: Appointment of the Deputy Governor
Section 17: Appointment of the Directors
Section 18: Tenure of Office of the Director
Section 19: Remuneration and Other Benefits to the Directors
Section 20: Qualifications of the Directors
Section 21: Disqualification of the Directors
Section 22: Grounds for Removal of the Directors from Office
Section 23: Constitution, Functions and Duties of Inquiry Committee
Section 24: Resignation by Director
Section 25: Public Notification of Governor's Appointment
Section 26: Fulfilment of Vacant Office
Section 27: Acting Governor
Section 28: Meeting of the Board
Section 29: Functions, Duties and Powers of the Board
Section 30: Functions, Duties and Powers of the Governor
Section 31: Delegation of powers
Section 32: Prohibition on Vested Personal Interest
Section 33: Management Committee
Section 34: Audit Committee
Section 35: Function, Duties and Powers of the Audit Committee
Section 36: Employees of the Bank
Section 37: Professional Code of Conduct and Official Responsibility
Section 38: Confidentiality

GOVERNANCE STRUCTURE & APPOINTMENTS
(SECTIONS 14, 15, & 16)

SECTION 14: FORMATION OF THE BOARD

BOARD OF DIRECTORS

- Governor (CHAIRPERSON)
- Secretary, Ministry of Finance (MEMBER)
- Two Deputy Governors (MEMBERS)
- Three Directors

Appointed by Government of Nepal from renowned persons in:

- Economics
- Monetary affairs
- Banking
- Finance
- Commercial law



SECTION 15: APPOINTMENT OF THE GOVERNOR

Appointing authority: Council of Ministers, Government of Nepal

Recommendation Committee

- Minister of Finance (CHAIRPERSON)
- One former Governor (MEMBER)
- One Government-designated renowned person from relevant field (MEMBER)

Recommends 3 candidates, including eligible Deputy Governors

Council of Ministers appoints one from the recommended names.

SECTION 16: APPOINTMENT OF THE DEPUTY GOVERNOR

Appointing authority: Council of Ministers

Appointment is made on the recommendation of the Governor.

Governor recommends candidates twice the number of vacant posts.

Candidates must be Special Class Officers of the Bank, selected based on performance.

A person appointed as Deputy Governor is automatically retired from their previous Bank service.

SECTION 17: APPOINTMENT OF DIRECTORS

Appointing Authority: Council of Ministers

Directors Appointed from Renowned Persons Representing Different Sectors:

- Economics
- Monetary Affairs
- Banking
- Finance
- Commerce
- Management
- Commercial Law

SECTION 18: TENURE OF OFFICE OF DIRECTORS



- **Governor, Deputy Governor & Directors:** 5-year term
- **Governor:** May be reappointed for one additional term.
- **Directors:** May be reappointed for any term, if necessary.

SECTION 19: REMUNERATION & OTHER BENEFITS



Remuneration and benefits of the Governor, Deputy Governors and Directors are determined by the Board.

SECTION 20: QUALIFICATIONS OF DIRECTORS



- Be a Nepalese citizen
- Have high moral character
- Hold at least a Master's degree in a relevant field
- Have relevant work experience in economics, monetary affairs, banking, finance or commerce
- Not be disqualified under Section 21

SECTION 21: DISQUALIFICATION OF DIRECTORS



- Are a member/official of a political party
- Are blacklisted by a bank/financial institution
- Are currently engaged with a commercial bank/financial institution
- Hold 5% or more shares/voting rights in a commercial bank/financial institution
- Are bankrupt
- Are of unsound mind
- Have been convicted of an offence involving moral turpitude

SECTION 22: REMOVAL OF DIRECTORS FROM OFFICE



- Council of Ministers may remove the Governor, Deputy Governor or Director only on specified grounds.
- Person must be given a reasonable opportunity to be heard.

- Governor: Removal based on recommendation of the Inquiry Committee under Section 23.
- Deputy Governor/Director: Removal after inquiry and recommendation of the designated committee.
- Once removal proceedings begin, the person is *ipso facto* suspended.

- Grounds for Removal:
  - Disqualification under Section 21
  - Inability to perform duties or achieve the Bank's objectives
  - Acts causing loss/damage to the banking or financial system
  - Dishonest or mala fide conduct in Bank business
  - Revocation of professional licence or disqualification for gross misconduct
  - Absence from more than 3 consecutive Board meetings without genuine reason
- No removal is permitted except on these specified grounds.

Section 23: Constitution, Functions & Duties of Inquiry Committee

- **Purpose:** Inquiry before removal of the Governor.
- **Committee composition:**



Retired Supreme Court Justice designated by Government → **Chairperson**

- Two renowned persons from relevant sectors



→ **Members**

Functions & Duties:

- May record statements and conduct inquiry.
- May determine its own procedure.
- Must submit its recommendation **within 1 month.**

Section 24: Resignation by Director

- Governor, Deputy Governor or Director may resign.
- Resignation must be submitted in writing to the Government of Nepal.



Section 25: Public Notification of Governor's Appointment

- Government should normally appoint a new Governor **1 month** before the vacancy occurs.



- Government shall issue a public notice regarding the appointment.



Section 26: Fulfilment of Vacant Office

- If the office of Governor, Deputy Governor or Director becomes vacant before expiry of the term:



- Government shall appoint a replacement.
- Replacement serves only for the remaining term.



Section 27: Acting Governor

- Government shall designate the Senior Deputy Governor as Acting Governor when the Governor:



- Dies
- Resigns
- Becomes sick
- Goes on leave
- Is otherwise unable to perform duties

INFOGRAPHIC: RASTRIYA BANK ACT, SECTIONS 28 & 29

SECTION 28: MEETING OF THE BOARD

Frequency:
As required, but at least once a month

Presiding officer:
Governor

Frequency:
As required, but at least once a month

Governor calls the meeting.

Meeting must be called if 3 Directors submit a written request.

Board may frame bye-laws for meeting procedures.

Quorum: At least 3 Directors + presiding officer, including at least 1 Director appointed under Section 14(d).

Decision:
Majority vote prevails.

In case of a tie, the presiding officer has a casting vote.

SECTION 29: FUNCTIONS, DUTIES & POWERS OF THE BOARD

- Formulate monetary and foreign exchange policies.
- Decide denominations, figures, size, metal/materials of notes and coins, and their issuance policy.
- Formulate policies for supervision and inspection of banks and financial institutions.
- Approve Rules, Bye-laws and operational policies of the Bank.
- Formulate HR policies, including appointment, promotion, transfer, dismissal, remuneration, pension, gratuity, provident fund, leave and code of conduct.
- Approve annual programs, budget and annual audit and submit reports to Government.
- Approve the annual activity report.
- Formulate policies for issuance and revocation of licences.
- Approve the annual activity report.
- Formulate policies for issuance and revocation of licences.
- Approve loan limits to the Government.
- Determine loan and refinance terms for banks and financial institutions.
- Decide on membership in international institutions/organizations.
- Formulate the investment policy for the Bank's resources.
- Propose amendments to the Act to the Government.
- Decide matters not within the Governor's authority.
- Delegate powers to the Governor or sub-committees.

SECTION 30, 31, & 32: POWERS & DUTIES OF THE GOVERNOR



SECTION 30: FUNCTIONS, DUTIES & POWERS OF THE GOVERNOR

- Implement decisions of the Board.
- Operate and manage the Bank.
- Systematize the Bank's functions.
- Represent the Bank internationally.
- Implement monetary and foreign exchange policies.
- Formulate interest rate policies for deposits and loans.
- Formulate policies on interest rates charged/paid by banks and financial institutions.
- Formulate liquidity policy.
- Determine the basis, amount, method and use of compulsory deposits.
- Fix capital adequacy requirements.
- Determine procedures for gold and precious metal transactions.
- Fix capital adequacy requirements. Fix capital-procedures.
- Determine procedures for gold and precious metal transactions.
- Fix service charges.
- Decide on opening/closing Bank offices.
- Establish or close agencies of the Bank.
- Arrange information systems.
- Arrange supervision of banks and financial institutions.
- Decide on revocation of licences.
- Exercise other powers delegated by the Board.
- Exercise powers generally exercised by central bank governors internationally.

SECTION 31: DELEGATION OF POWERS



Governor may delegate powers/authority to:

- Deputy Governor; or
- Other employees of the Bank.

Purpose: Smooth and effective conduct of Bank business.

SECTION 32: PROHIBITION ON VESTED PERSONAL INTERESTS

Governor, Deputy Governor and Director must disclose their direct or indirect commercial interests, including those of family members, to the Board **every 6 months**.

Any personal interest in a matter before the Board must be disclosed before discussion.

The concerned person cannot participate in the discussion on that matter.

Governor and Deputy Governor must publicly disclose property held in their own and family members' names:

- Within 1 month of appointment
- Upon retirement

SECTION 33: MANAGEMENT COMMITTEE

Constituted under: **BOARD**

CHAIRPERSON: **GOVERNOR**

MEMBERS: **TWO DEPUTY GOVERNORS**

MEMBER-SECRETARY: **SENIOR BANK OFFICER**

PURPOSE: Ensure smooth conduct of Bank business.

- **Functions, duties and powers** are as prescribed.
- **Governor** may invite other officers to Committee meetings.
- Committee shall periodically assess monetary and financial conditions.
- Must report its assessment to the Board at least once a month.

SECTION 34: AUDIT COMMITTEE

- Board-designated Director → **COORDINATOR**
- Subject expert → **MEMBER**
- Chief, Internal Audit Department → **MEMBER**

AUDIT COMMITTEE

SECTION 35: FUNCTIONS, DUTIES & POWERS OF AUDIT COMMITTEE

REPORT/RECOMMEND TO THE BOARD ON:

- **ACCOUNTS**
- **BUDGET**
- **AUDIT PROCEDURES**
- **INTERNAL CONTROL SYSTEMS**

VERIFY PROPER CONDUCT OF AUDITS and periodic preparation of balance sheets.

SUPERVISE IMPLEMENTATION OF RISK MANAGEMENT.

AUDIT MANAGERIAL AND WORK PERFORMANCE for compliance with prevailing laws.

FRAME AUDIT BYE-LAWS in accordance with prevailing law and international standards, and submit them to the Board for approval.

PROVIDE RELEVANT INFORMATION TO THE GOVERNOR whenever it reports to the Board.

REGULATIONS FOR BANK OFFICIALS & EMPLOYEES

SECTION 36: EMPLOYEES OF THE BANK

- APPOINTING AUTHORITY: BOARD



- BOARD SHALL APPOINT NECESSARY EMPLOYEES FOR THE BANK.



- TERMS, CONDITIONS, REMUNERATION AND BENEFITS SHALL BE AS PRESCRIBED.



CONTRACT



MONEY



HEALTH BENEFITS

SECTION 37: PROFESSIONAL CODE OF CONDUCT & OFFICIAL RESPONSIBILITY

- GOVERNOR AND DEPUTY GOVERNORS MUST DEVOTE THEIR FULL PROFESSIONAL SERVICE TO THE BANK.



- THEY CANNOT HOLD ANY OTHER PAID OR UNPAID POSITION, EXCEPT POSITIONS IN NON-PROFIT PROFESSIONAL ASSOCIATIONS, SUCH AS:
  - Medical associations
  - Bar associations
  - Bankers' associations
  - Engineers' associations
  - Chartered Accountants' associations
- MUST GIVE HIGHEST PRIORITY TO THE INTERESTS OF THE BANK.



- MUST NOT ACCEPT GIFTS OR LOANS THAT MAY CREATE UNDUE INFLUENCE.



SECTION 38: CONFIDENTIALITY

- GOVERNOR, DEPUTY GOVERNOR, DIRECTORS, EMPLOYEES, ADVISORS, AUDITORS, AGENTS AND REPRESENTATIVES SHALL NOT:
  - ✗ DISCLOSE CONFIDENTIAL INFORMATION; OR
  - ✗ USE CONFIDENTIAL INFORMATION FOR PERSONAL GAIN.
- PERMITTED DISCLOSURE:
  - IN THE DISCHARGE OF PUBLIC DUTY, ASSISTANCE TO LAW ENFORCEMENT, OR PURSUANT TO AN ORDER OF A COURT/AUTHORIZED OFFICER.



  - TO EXTERNAL AUDITORS AND EMPLOYEES OF INTERNATIONAL FINANCIAL INSTITUTIONS.





  - FOR LEGAL PROCEEDINGS/ACTIONS IN THE INTEREST OF THE BANK.





DESIGNED FOR INFORMATION PURPOSES

Chapter 4 Financial Provisions

Section 39: Capital of the Bank
Section 40: Computation of net profit and loss
Section 41: Allocation of net profit
Section 42: Allocation of net loss
Section 43: Annual Budget

CHAPTER 4: FINANCIAL PROVISIONS

Infographic Overview

Section 39: Capital of the Bank

- Capital: Rs. 5 billion
- Provided by the Government of Nepal
- Cannot be transferred or encumbered with debt
- Government may alter the capital in consultation with the Bank

Section 40: Computation of Net Profit & Loss

- Bank shall prepare profit/loss accounts every fiscal year
- Accounts prepared according to Nepal Accounting Standards (NAS)
- Where Nepal standards not cover, international accounting standards apply
- Net profit determined after:
  - Deducting bad and doubtful debts
  - Deducting depreciation
  - Adjusting profit/loss
  - Adjusting net valuation gain/loss

Section 41: Allocation of Net Profit

NET PROFIT

Revaluation profit	→ Revaluation Reserve Fund
5%	→ Monetary Liability Fund
At least 10%	→ General Reserve Fund, as fixed by Board
5%	→ Financial Stability Fund
Board-fixed amount	→ Net Accumulated Savings Fund
Remaining profit	→ Government of Nepal

- Additional amount may be allocated to General Reserve Fund for capital expenditure included in the annual budget
- General Reserve Fund & Accumulated Savings Fund may be used to increase Bank capital
- Other amounts → allocated as prescribed by Rules

Section 42: Allocation of Net Loss

NET LOSS

1. Revaluation Reserve Fund
2. Accumulated Savings Fund
3. General Reserve Fund
4. Capital Account

- Any loss that cannot be adjusted from these sources shall be borne by the Government of Nepal

Section 43: Annual Budget

- Board shall approve the Bank's estimated income, expenditure and programs before each fiscal year
- Budget may be amended quarterly (Q1 ↔ Q4)
- Approved budget shall be sent to the Government of Nepal for information

Chapter 5 Monetary Functions and Operation of the Open Market

Section 44: Monetary Policy
Section 45: Operation of Open Market Transaction
Section 46: Compulsory Deposit of Commercial Banks and Financial Institutions
Section 47: Failure to Maintain Compulsory Deposit
Section 48: Discount Operation
Section 49: Loan and Refinance to Commercial Banks and Financial Institutions
Section 50: Discount Rate and Rate of Interest for Refinance

CHAPTER 5: MONETARY FUNCTIONS AND OPERATION OF THE OPEN MARKET

Key Provisions at a Glance

44 MONETARY POLICY

The Bank has full authority to:

- **Formulate** Nepal's monetary policy
- **Implement** monetary policy
- **Cause** monetary policy to be implemented

45 OPERATION OF OPEN MARKET TRANSACTIONS

- Bank may conduct open market transactions by purchasing or selling:
  - Government debentures
  - Bank debentures
- May manage short-term liquidity through:
  - Repurchase (Repo) agreements
  - Reverse repurchase (Reverse Repo) agreements
- May issue other appropriate financial instruments for open market operations.

46 COMPULSORY DEPOSIT OF BANKS & FINANCIAL INSTITUTIONS



- Bank may direct commercial banks and financial institutions to maintain **compulsory reserves.**
- Reserve requirement is based on:
  - **Deposits**
  - **Borrowed funds**
  - **Other liabilities**
- Calculation is based on the prescribed **daily average deposit duration.**

47 FAILURE TO MAINTAIN COMPULSORY DEPOSIT



Failure to maintain the required compulsory deposit/reserve attracts a fine.

Fine may be up to

3 TIMES

the Bank's maximum prescribed bank rate for the period of default.

48 DISCOUNT OPERATION



Bank may conduct discount transactions on:

(a) Promissory notes / bills of exchange signed by at least 2 parties, including a commercial bank, payable within **6 months.**

(b) Government or Bank debt bonds payable within **6 months** of acquisition.

Discount rates, terms and procedures are as prescribed.

49 LOAN AND REFINANCE TO COMMERCIAL BANKS AND FINANCIAL INSTITUTIONS

(1) Bank may provide loans / refinance for **up to 1 year** against:

- International negotiable instruments
- Government debt bonds
- Bank deposits, gold or precious metals
- Bills / promissory notes under Section 48(1)
- Other prescribed securities

(2) Bank may provide credit for **up to 1 year:**

At Government request for public interest

OR

As lender of last resort in extraordinary circumstances

(3) Such credit may be renewed for

1 ADDITIONAL YEAR

as prescribed.

50 DISCOUNT RATE AND RATE OF INTEREST FOR REFINANCE



Bank shall **fix and publish** discount rate and refinance interest rate from time to time.

Purpose: These provisions empower the Bank to manage liquidity, control credit, maintain financial stability, and support economic growth through effective monetary instruments and policies.

NEPAL RASTRA BANK

Chapter 6 Monetary Unit, Banknotes and Coins

Section 51: Monetary Unit
Section 52: Power to Issue Banknotes and Coins
Section 53: Measurement, Weights and Size of Coins
Section 54: Measurement, Weights and Size of Coins
Section 55: Issuance of Currency and Security
Section 56: Provisions on Exchange of Currency
Section 57: Soiled or Counterfeit Currency
Section 58: Provisions Relating to Currency Inventory and Issuance of Currency
Section 59: Account of Issued Currency
Section 60: Currency Recall or Withdrawal
Section 61: Reproduction and Counterfeiting of Currency

CHAPTER 6: MONETARY UNIT, BANKNOTES AND COINS



51 MONETARY UNIT



- The Rupee is Nepal's monetary unit, divided into 100 Paisa.
- The Rupee is legal tender within Nepal, guaranteed by the Government of Nepal.

52 POWER TO ISSUE BANKNOTES AND COINS

1 Monopoly



The Bank has monopoly over issuance of banknotes and coins, which are legal tender.

2 Issue Against Security



Notes issued only against security equal to their value.

- At least 50% (or 40% with Govt. permission) in gold, silver, foreign currency, securities or bills.
- Remainder in coins, Govt. debt bonds, promissory notes or bills payable within 18 months.

3 Valuation Basis



Valuation basis specified for:

- Gold
- Silver
- Foreign currencies
- Debt bonds / securities
- Coins

4 Denominations & Features



Denominations, figures and size require Govt. approval.

Internal security features and materials are decided by the Board.

5 Restriction of Legal Tender



Government, in consultation with the Board, may restrict legal tender status of denominations to certain places.

6 No Reissue of Damaged Notes



The Bank shall not reissue torn, defaced or excessively soiled notes.

7 Minting & Circulation of Coins



The Bank may, with Govt. approval, mint and circulate coins (including via foreign mints).

8 Minting for Foreign Governments



The Bank may, with Govt. approval, mint coins for foreign governments.

9 Responsibility



The Bank is responsible for payment of its issued notes and pre-Bank Govt.-issued notes.

10 No Other Liability



No other liability is borne from the security property for the issuance of notes.

53 BANK NOTES AND COINS TO BE ALL ACCEPTABLE



Bank notes and coins are acceptable at face value for the repayment of all public and private debts within Nepal.

54 MEASUREMENT, WEIGHTS AND SIZE OF COINS



Face value, measurement, weight, size and other features of coins are prescribed by the Board.

55 ISSUANCE OF CURRENCY AND SECURITY



Matters relating to:

- Printing / minting of notes and coins
- Securing unisused notes and coins
- Safekeeping and destroying old currency, plates and dies

are as prescribed.

56 PROVISIONS ON EXCHANGE OF CURRENCY



The Bank shall, without fee, exchange legal tender notes and coins for notes or coins of the same or different denominations of equal value.

57 SOILED OR COUNTERFEIT CURRENCY



(1) The Bank may withdraw, destroy or replace soiled currency.
(2) The Bank may deny replacement of currency that is defaced, torn or more than 50% destroyed.
(3) The Bank may withdraw or destroy such currency with or without compensation.
(4) No compensation for lost or stolen currency; counterfeit or altered currency may be forfeited without compensation.

58 PROVISIONS RELATING TO CURRENCY INVENTORY AND ISSUANCE OF CURRENCY



The Bank shall manage currency stock and regularly supply banknotes and coins to meet the demand of the public.

59 ACCOUNT OF ISSUED CURRENCY



The Bank shall maintain accounts of all circulating banknotes as monetary liability, excluding the stock of notes and coins not in circulation.

60 CURRENCY RECALL OR WITHDRAWAL



(1) The Bank may recall banknotes or coins by exchange and give public notice of the exchange period and place.
(2) After the expiry of the notice period, unexchanged notes or coins shall cease to be legal tender.
(3) The Bank may destroy the withdrawn or defective currency as prescribed.

61 REPRODUCTION AND COUNTERFEITING OF CURRENCY



(1) Prohibited acts:
  (a) Forging, counterfeiting or altering currency, cheques or payment cards.
  (b) Possessing, transporting or issuing such items knowing they are false.
  (c) Possessing or transporting materials intended for such falsification.
(2) Reproduction of currency, securities or payment cards requires prior written authorication of the Bank.
(3) The Bank may take appropriate action, including issuing orders or directives, to prevent counterfeiting.

Purpose: These provisions ensure a stable and trusted currency system through proper issuance, management, and protection of Nepal's monetary unit, banknotes and coins.

NEPAL RASTRA BANK

Chapter 7
Foreign Exchange Policy, Regulation and Reserve

Section 62: Foreign Exchange Policy
Section 63: Management of Foreign Exchange
Section 64: Particulars of Foreign Exchange Transactions
Section 65: Dealing in Foreign Exchanges
Section 66: Foreign Exchange Reserve
Section 67: Issuance of Debt Bond Against Gold and Foreign Currency
Section 68: International Clearing and Payment Agreements

CHAPTER 7: FOREIGN EXCHANGE POLICY, REGULATION & RESERVE

62 FOREIGN EXCHANGE POLICY



The Bank has full authority to:

- Formulate Nepal's foreign exchange policy
- Implement the foreign exchange policy

63 MANAGEMENT OF FOREIGN EXCHANGE

The Bank shall manage foreign exchange by:

- Licensing foreign exchange dealers
- Framing rules and directives for dealers
- Inspecting and supervising dealers
- Prescribing terms and conditions for foreign exchange transactions
- Prescribing the system for determining exchange rates

64 PARTICULARS OF FOREIGN EXCHANGE TRANSACTIONS



1. License-holders must submit detailed particulars of foreign currency exchange/ transactions as prescribed.
2. It is the license holder's duty to submit such particulars and documents.

65 DEALING IN FOREIGN EXCHANGES



1. The Bank may purchase and sell foreign exchange, gold and precious metals.
2–3. Transactions may be conducted through:
   - Spot
   - Forward
   - Swap
   - Option

   or similar instruments.
4. The Bank deals after fixing buy/sell rates, subject to prescribed basis, limits and conditions.

66 FOREIGN EXCHANGE RESERVE

(1) RESERVES MAY COMPRISE:

- Gold and precious metals
- Foreign currencies held directly or in foreign bank accounts
- SDR — Special Drawing Rights (SDRs) held at the IMF
- Debt instruments denominated in convertible currencies
- Forward / repurchase agreements
- Futures / options with foreign central banks or international institutions

2. Asset selection should consider capital and liquidity to maximize earnings.
3. Reserves must be adequate for:
   - Implementing monetary and exchange rate policies
   - Prompt international payments / settlements
4–5. If reserves fall to a dangerously low level, the Bank must report to Government with recommendations. Reporting continues until the situation is rectified.
6. Foreign exchange reserves are shown in the Bank's balance sheet.



67 ISSUANCE OF DEBT BOND AGAINST GOLD AND FOREIGN CURRENCY



1. The Bank may, with Government approval, issue debt bonds denominated in:
   - GOLD
   - $ € ¥ FOREIGN CURRENCY
2. Types, duration and payment terms are as prescribed by the Bank.

68 INTERNATIONAL CLEARING AND PAYMENT AGREEMENTS



1. The Bank may enter into clearing and payment agreements with:
   - Foreign public or private central clearing unions
   - Other relevant international institutions
2. Such agreements may be entered into for the Bank's own account or Government's account.
3. The Bank may enter into other necessary related agreements.

PURPOSE: These provisions empower the Bank to manage foreign exchange, regulate the market, maintain adequate reserves, and ensure stability in international transactions and payments.

NEPAL RASTRA BANK
नेपाल राष्ट्र बैंक

Chapter 8 Relation with Government of Nepal

Section 69: Banker, Advisor and Financial Agent
Section 70: Consultation and Information Relating to External Debt
Section 71: Deposit Collection
Section 72: Functions of Fiscal Agent
Section 73: Bank may ask for Particulars, Statistics and Documents
Section 74: Consultation on the Matter of Law Reform
Section 75: Credit to the Government of Nepal and Purchase of Government Debt Bonds

NEPAL RASTRA BANK

CHAPTER 8: RELATION WITH GOVERNMENT OF NEPAL

69 BANKER, ADVISOR AND FINANCIAL AGENT

- The Bank acts as the **banker, financial advisor** and **financial agent** of the Government of Nepal.
- Government must consult the Bank on matters within the Bank's authority.
- Government must consult the Bank on **domestic debt**, including **overdrafts**, while preparing the annual budget.
- The Bank must submit an **annual pre-budget review report.**

70 CONSULTATION AND INFORMATION ON EXTERNAL DEBT

- Government may consult the Bank regarding external loans, including:
  - ✓ Amount
  - ✓ Terms and conditions
  - ✓ Repayment arrangements
- Government must **inform** the Bank when external loans are received.
- Government must consult the Bank before approving loans that create **foreign-exchange liabilities** for public or private institutions.
- Government must provide information about the **related loan agreements.**

71 DEPOSIT COLLECTION

- The Bank accepts deposits of the Government and prescribed bodies.
- It:
  - ✓ Receives and disburses Government funds
  - ✓ Maintains accounts
  - ✓ Provides related banking services
- The Bank may authorize commercial banks and financial institutions to perform these transactions under prescribed conditions.

72 FISCAL AGENT

The Bank acts as the Government's fiscal agent for:

- Marketing and purchase/sale of Government debt bonds
- Acting as registrar and transfer agent
- Paying principal, interest and fees on Government bonds
- Performing other necessary agency functions

73 POWER TO OBTAIN INFORMATION

- The Bank may request necessary **particulars, statistics and documents** from concerned bodies.
- Concerned bodies are **required to provide** the requested information.

74 CONSULTATION ON LAW REFORM

- The Bank may be consulted on proposed laws relating to its objectives and authority, including:

Monetary Policy | Credit | Balance of Payments | Foreign Exchange | Banking

- The Bank must provide its **opinion** when consulted.
- The Bank may itself **propose new laws or amendments** relating to its objectives.

75 CREDIT TO GOVERNMENT & PURCHASE OF GOVERNMENT DEBT BONDS

- Generally, the Bank **cannot provide financial assistance to the Government** or Government-owned institutions.
- **Short-term credit:** May be provided to the Government for repayment within **180 days.**
- **Special long-term credit:** Allowed only for subscriptions/payments related to Nepal's membership in international organizations.
- Credit must:
  - Be disbursed only in Nepalese rupees
  - Be backed by Government debt bonds of matching maturity
  - Carry market-based interest
  - Be provided under a written agreement

Government overdraft limit:
- Maximum **5%** of the previous fiscal year's revenue income.
- Borrowings, grants and proceeds from asset sales are excluded from revenue income.
- Overdraft must be repaid within **180 days.**

Government debt bond holding limit:
- Bank's total holdings cannot exceed **10%** of the previous fiscal year's revenue income.

EXCEPTIONS TO THE 10% LIMIT

1. Bonds purchased in the secondary market for open market operations.
2. Bonds purchased in the primary market for financial stability, provided they are divested within **60 days.**
3. Bonds already owned by the Bank before commencement of Sub-section (7).

IN A NUTSHELL

These provisions ensure close coordination between Nepal Rastra Bank and the Government in financial matters – safeguarding fiscal discipline, ensuring financial stability and promoting sound economic management.

KEY NUMBERS TO REMEMBER

180 DAYS – Government credit/ overdraft repayment period

5% – Maximum Government overdraft (of previous fiscal year's revenue income)

10% – Maximum Government debt bonds that the Bank can hold (of previous fiscal year's revenue income)

60 DAYS – Divestment period for primary-market bonds purchased for financial stability

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Note: Figures and provisions are as per Nepal Rastra Bank Act, 2058

Chapter 9 Regulation, Inspection and Supervision of the Banks

Section 76: Bank's Approval Required for Accepting Deposits or Giving Credits
Section 77: Restriction on Rate of Interest
Section 78: License to be Obtained from Bank
Section 79: Regulatory Powers of the Bank
Section 80: Banking and Financial System and Credit Control
Section 81: Credit to Prescribed Sectors
Section 82: Information to be Furnished to Bank
Section 83: Approval Required to Issue Debentures and Financial Instruments
Section 84: Inspection and Supervision
Section 85: Exchange of Mutual Cooperation
Section 86: .....
Section 86A: Commercial Banks and Financial Institutions to Provide Information to the Bank
Section 86B: Commercial Bank and Financial Institution Deemed to be Problematic
Section 86C: Bank to Take Action Against Problematic Commercial Bank or Financial Institution
Section 86D: Effect of the Control of the Bank on any Commercial Bank or Financial Institution
Section 86E: The Reformative Measures and Power to be Used by the Bank or the Official Appointed by the Bank
Section 86F: Power of the Bank for Corrective Action
Section 86G: Can be Subject of Resolution
Section 86H: Decreasing the Capital of Problematic Commercial Bank or Financial Institution
Section 86I: Right to Appeal Against the Order of the Bank
Section 86J. .....
Section 86K. .....
Section 86L.....
Section 86M.....
Section 87: Establishment of Information Network
Section 88: Establishment of Credit Information Centre

SECTION-BASED REGULATORY FRAMEWORK FOR BANKING & FINANCE

Section 76: Approval for Accepting Deposits or Giving Credit



Any person, firm, company or institution must obtain Bank approval to:

- Accept deposits; or
- Provide loans/credit.





- Approval is subject to prescribed requirements.
- The Bank may impose terms and conditions on the approval.
- Approved persons/institutions must comply with those conditions.

Section 77: Restriction on Rate of Interest





Persons/institutions authorized to accept deposits or provide loans must fix interest rates according to arrangernts prescribed by the Bank.



Section 78: License from the Bank



Commercial banks and financial institutions must obtain a Bank licence to conduct banking or financial transactions.



- The Bank may prescribe terms and conditions for the licence.
- Licensed institutions must comply with those conditions.



79: Regulatory Powers of the Bank

1 Rules and Directives



- May make rules and bye-laws.
- May issue directives and circulars.
- Banks and financial institutions must comply.

2 Information and Reports



The Bank may require submission of:

- Balance sheets and accounts
- Off-balance-sheet commitments
- Income and expenditure statements
- Financial ratios
- Credit and investment restrictions/prohibitions
- Risk-bearing commitments
- Foreign-currency positions
- Payment-system access
- Other prescribed information/documents.

3 Anti-Money Laundering & Terrorist Financing



The Bank may issue directions concerning:

- Information provided to the Financial Information Unit
- KYC (Know Your Customer)
- Customer risk classification
- Limits on transactions, deposits and transfers.

4 Supervision and Enforcement Powers



The Bank may:

- Enforce licensing and supervisory powers.
- Revoke licences.
- Take over or place insolvent/near-insolvent banks or financial institutions under trusteeship.
- Investigate, inspect and supervise books, accounts and records.
- Require directors, officials and employees to provide necessary information.

BANKING & FINANCIAL SYSTEM, CREDIT CONTROL AND SUPERVISION
(Sections 80-84)

1 Section 80: Banking & Financial System and Credit Control

Directives & Compliance

The Bank may issue directives relating to:

- Banking and financial system
- Currency
- Credit



Banks and financial institutions must follow such directives.

2 Section 81: Credit to Prescribed Sectors

Mandatory Credit Allocation

Banks and financial institutions must provide credit to sectors prescribed by the Bank.

The Bank may determine:

- Sectors
- Periods
- Manner of providing credit

FAILURE/SHORTFALL

A fine may be imposed equal to the interest that would have been charged on the credit shortfall.

3 Section 82: Information to be Furnished to Bank

Reporting & Transparency

Banks and financial institutions must provide transaction and financial-position information as prescribed by the Bank.





The Bank may publish the information received.

4 Section 83: Approval for Debentures & Financial Instruments

Issuance Approval

Banks and financial institutions must obtain prior approval from the Bank Bank before issuing:

- Debentures
- Financial instruments



- The Bank may prescribe terms and conditions for such approval.

Institutions must comply with those conditions.

5 Section 84: Inspection and Supervision

Inspection, Supervision & Reporting



The Board must establish inspection and supervision bye-laws based on international standards.

The Bank may inspect or supervise banks/financial institutions at any time through:

- Bank officials
- Deputed experts
- Requiring submission of information/documents

Banks, directors, officials and employees must provide:

- Statements
- Records
- Information
- Documents
- Relevant systems within the prescribed time.



Inspecting officials/Bank may take written statements from directors, officials and employees.

During inspection, the Bank/inspecting official may issue necessary directives, which must be followed. Inspectors must inform the Bank about directives issued during inspection.

Inspecting officials/experts must submit an inspection report to the Governor within the prescribed deadline.

The report must be presented at the next Board meeting.

Based on the report, the Board may issue directions to the Governor.

The Governor is responsible for implementing those directions.

SECTION 85: EXCHANGE OF MUTUAL COOPERATION



The Bank may cooperate with foreign **supervisory authorities** on a reciprocal basis for supervision purposes.

The Bank may **exchange information** with foreign authorities if they undertake to maintain confidentiality.

The Bank may also cooperate with other institutions regulating the financial system.

SECTION 86: REPEALED



Section 86 has been repealed.

SECTION 86A & 86B: HANDLING PROBLEMATIC BANKS/FIs

SECTION 86A: BANKS/FIs TO INFORM THE BANK



- Becomes insolvent
- Is dissolved
- Becomes unable to pay its debts
- Becomes materially unable to discharge its liabilities

SECTION 86B: DECLARATION AS A PROBLEMATIC BANK/FI

SECTION 86A INFORMATION
INSPECTION REPORTS UNDER SECTION 84
OTHER INFORMATION

satisfied

THE BANK WRITTEN NOTICE declarrs a problematic status

1 Public/Stakeholder Interest Risk

Action against the interesta of depositors, shareholders, creditors or the public is evident.

2 Failure to Meet Liabilities

Financial liabilities are not being, or are unlikely to be, met.

3 Financial Distress

Insolvency or serious financial difficulty exists.

4 Legal/Regulatory Non-compliance

Violation of the Act, related laws, licence conditions, regulations, directives or orders.

5 Fraudulent Licensing

Licence obtained using false or fraudulent documents.

6 Capital Deficiency

Required capital fund is not maintained.

7 Resolution/Liquidation Proceedings

Liquidation, resolution or insolvency proceedings have commenced.

8 Delayed Voluntary Liquidation

Undue delay in voluntary liquidation.

9 Problematic Foreign Joint-Venture Partner

Foreign partner is insolvent, liquidated, has its licence terminated, is banned, or is evidently involved in problematic operations.

10 Inability to Pay/ Performance Risk

The Bank believes the institution cannot pay its dues or may adversely affect its liabilities or obligations.

Section 86C: Action Against Problematic Commercial Bank or Financial Institution

The Bank may take corrective, restrictive or control measures against a bank/financial institution declared problematic under Section 86B, notwithstanding the Companies Act or other laws.

1 Capital & Shareholder Measures

- Require increase of paid-up capital through new shares or by calling up issued capital.
- Suspend shareholders' voting or other rights.
- Stop payment of dividends or payments relating to capital increases.

2 Management & Governance Measures

- Limit bonus, salary or other compensation of directors and management.
- Require improvements in:
  - Corporate governance
  - Internal control
  - Risk management
- Order removal of a director, manager or employee.
- Remove them if the removal order is not complied with.
- Suspend the Board and take control of the institution directly or through an appointed official.

3 Business & Transaction Restrictions

- Prohibit or limit:
  - Deposit collection
  - Credit/loan supply
  - Investments
- Require adequate capital and liquidity.
- Restrict transactions or prohibit:
  - Sale of assets
  - Expansion of branches
  - Operation of particular branches
- Prohibit specific types of business for a specified period.
- Require prior Bank approval for major capital expenditure or financial commitments.
- Require measures to reduce risks from doubtful or unevaluated assets.
- Prohibit unlawful actions that may harm the institution.

4 Other Enforcement Measures

- Order delisting from the Stock Exchange.
- Prohibit payment of interest or principal on unsecured auxiliary loans.
- Take any other necessary action.

Hearing & Procedural Safeguards

- Generally, the concerned person/institution must be given an opportunity to be heard before removal or suspension actions.
- If giving a prior hearing could harm the interests of depositors, creditors, shareholders or the public:
  - The Bank may act without prior hearing.
  - A hearing must then be provided after the decision.
- After hearing, the Bank may annul, modify or make a new decision.

KEY POINTS TO REMEMBER

- **86B** — Institution declared Problematic
- **86C** — Bank takes Corrective & Control Measures
- **Capital** — Increase capital / suspend shareholder rights
- **Dividend** — May be stopped
- **Management** — Compensation restricted / officials removed
- **Business** — Deposits, credit & investment may be restricted
- **Governance** — Internal control & risk management strengthened
- **Board** — May be suspended and Bank may take control
- **Stock Exchange** — Delisting may be ordered
- **Control Period** — 2 years, unless renewed
- **Removed Officials** — Cannot work in same institution + no remuneration/compensation from order date
- **Valuation** — As per Bank-prescribed basis, process & standards

Bank Control of the Institution

- When the Bank takes control, the institution bears the related expenses.
- The control order is generally valid for 2 years, unless renewed.
- The Bank must submit preliminary and annual reports on institutions under its control to the Government.
- The Bank may later revoke or nullify, through a reasoned order, orders relating to:
  - Removal of directors/managers/employees
  - Taking control of the institution
  - Stock Exchange delisting

Consequences for Removed Officials

- Directors, managers or employees removed under the relevant provision cannot work in the same institution in any capacity.
- They cannot claim remuneration or compensation from the date of the removal order.

Section 86D: Effect of Bank Control over a Commercial Bank or Financial Institution

When the Bank takes control of a problematic institution under Section 86C(1)(o):

1. Cooperation with Bank



Directors, managers and employees must provide:

- Assets and materials
- Transaction reports
- Necessary information
- Full cooperation

They must provide these to the Bank or its appointed official.

2. Management by Appointed Official



The appointed official operates and manages the institution in their own name.

Management must remain within the limits of the Bank's order.

3. Powers of Appointed Official



The appointed official may exercise the legal powers of:

- Board of Directors
- Shareholders
- Manager

This includes powers that would normally be exercised through the General Meeting.

4. Restrictions on Removed/ Suspended Officials



Directors, managers and employees who have been removed, and directors whose powers have been suspended, cannot participate in management during the control period.

They cannot receive remuneration or facilities unless permitted in writing by the Bank or appointed official.

Section 86E: Reformative Measures and Powers of Bank/Appointed Official

For restructuring a controlled problematic institution, the Bank—or its appointed official with Bank approval—may take the following measures:

Suspend/Cancel Transactions



Cancel or suspend transactions conducted within or outside Nepal.

Sell Assets



Sell assets to another institution on terms determined by the Bank.

Employee Measures



Terminate or appoint employees as necessary.

Merger/Transfer



Merge the institution with another institution.

Transfer part or all of its assets and liabilities.

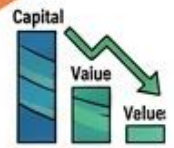
Capital & Board Restructuring



Increase capital by selling shares, which may reduce existing shareholders' participation.

Restructure the Board of Directors.

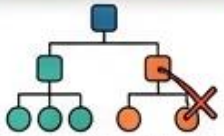
Capital Reduction



Reduce capital according to the actual value of real assets under Section 86H.

Determine a new face value of shares.

Managerial/Corporate Restructuring



Close underperforming branches or transactions.

Carry out other necessary managerial and corporate restructuring.

Competitiveness Measures



Implement other measures determined by the Bank to improve the institution's competitiveness.

Hearing Requirement



Before taking decisions under Section 86E(1)(f) or (g), a reasonable opportunity to be heard should generally be provided.

Exceptien: If prior hearing could harm the interests of stakeholders, the decision may be made without prior hearing. In such cases, a hearing must be provided after the decision, following the procedure applicable elsewhere in this Chapter.

'SECTION 86F & 86G: POWER OF THE BANK FOR CORRECTIVE ACTION'

SECTION 86F: Power of the Bank for Corrective Action

1

REPORT PUBLICATION

The Bank must publish a management/audit report within 1 year of taking control of the institution under Section 86C(1)(o).

2

REPORT FINDINGS & DECISION

If the report shows that the institution can operate properly, the Bank may:

- **LIFT SUSPENSION & RESTORE THE BOARD**
- **REPLACE BOARD & TRANSFER MANAGEMENT** to new shareholder-elected Board
- **CALL GENERAL MEETING** to elect new Board
- **OTHER CORRECTIVE MEASURES**

SHARE TRANSFER ORDERS

Based on the audit/report, the Bank may order shareholders, through public notice, to sell or transfer their shares to a Bank-approved person.

PUBLIC

SHARE PRICE DETERMINATION

Price determined by a committee of:

- Nepal Securities Board
- ICAN
- External experts

FAILURE TO SELL

The Bank may confiscate them and sell, distribute or transfer them based on the committee's advice.

SECTION 86G: INSTITUTION MAY BE SUBJECT TO RESOLUTION

INSTITUTION MAY BE RESOLUTION

While exercising powers under Sections 86C, 86E or 86F, if the Bank believes that the institution:

- **CANNOT FULFIL ITS LIABILITIES** (LIABILITIES)
- **CANNOT OPERATE PROPERLY**

The Bank may decide to place the institution under the resolution process.

OPPORTUNITY TO BE HEARD

Generally provided before action.

Action first, then post-decision hearing if needed to protect stakeholders.

SECTIONS 86H–88 | NRB ACT, 2058 (NEPAL)

SECTION 86H: DECREASING THE CAPITAL OF PROBLEMATIC COMMERCIAL BANK OR FINANCIAL INSTITUTION

After taking control under Section 86C(1)(o), the Bank may reduce the institution's share capital if:



- Paid-up capital needs to be reduced;
- Amounts due from shareholders remain unpaid; or
- Liabilities exceed recoverable assets.

NEWS
Before reducing capital, the Bank must publish a notice at least twice in a national daily newspaper.

→ **30 DAYS**
Before publication of the notice, shareholders whose share-price amounts are due must be given 30 days to make payment.

→ **CANCEL**
After the prescribed period, the Bank may:
- Cancel unpaid shares; and
- Determine the minimum share price for an institution undergoing insolvency, resolution or dissolution.

→
Reduction of capital or cancellation of shares is automatically treated as an amendment to the institution's memorandum and articles of association.

SECTION 86I: RIGHT TO APPEAL AGAINST THE ORDER OF THE BANK

- An appeal against actions, orders or decisions under Sections 86C, 86D, 86E, 86F and 86H may be filed only by a shareholders' representative elected by shareholders holding at least 25% of the shares. **25%+**
- The appeal must be filed before the Committee within 15 days. **15 DAYS**
- No appeal is entertained unless the representative has 25% share representation.
- The Committee must approve, review or cancel the Bank's action within 30 days of the appeal, based on evidence and reasons. **30 DAYS**
- The Bank must inform the shareholders' representative of the Committee's decision within 15 days. **15 DAYS**
- The Bank's or appointed official's action continues to remain effective unless cancelled by the Committee.
- The Committee's decision is final. **FINAL**

SECTIONS 86J–86N: REPEALED

Sections 86J, 86K, 86L, 86M and 86N have been repealed. **REPEALED**

SECTION 87: ESTABLISHMENT OF INFORMATION NETWORK



- The Bank shall establish and operate an information network.
- The network aims to promote and strengthen Nepal's banking and financial system.
- Its operation shall be according to prescribed provisions.

SECTION 88: ESTABLISHMENT OF CREDIT INFORMATION CENTRE



- Collect information on credit flows from banks and financial institutions.
- Require banks and financial institutions to exchange credit information.
- Require submission of names of loan defaulters and persons misusing loans.
- Require banks/FIs to check the Centre's information before granting loans or making investments above the prescribed limit.
- Blacklist confirmed defaulters and take necessary action.
- Report to the Bank on:
  - Exchange of credit information
  - Use of such information in lending/investment decisions
- The Bank shall regulate and manage the Centre and its functions as prescribed.





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STRONG INFORMATION. HEALTHY BANKING SYSTEM. SECURE FINANCIAL FUTURE.

KNOW THE LAW.
BUILD TRUST.

Chapter 9A Provisions Relating to Resolution

Section 88A: Power of the Bank to Carry Out Work of Resolution
Section 88B: Provision Relating to the Formation of the Special Administration
Section 88C: Function, Duty and Power of Special Administration Team
Section 88D: Power to be Automatically Suspended During the Period of Resolution
Section 88E: Notice and Registration of the Work Relating to Resolution
Section 88F: New Balance Sheet to be Prepared
Section 88G: Recommendation May be Made for Improving the Financial Condition of the Commercial Bank or Financial Institution
Section 88H: Bridge Institution or Unit May be Established
Section 88I: Sequence of Priority of Payment
Section 88J: Effect After Special Administration Team Takes Bank or Financial Institution Under Control
Section 88K: Actions Prior to the Commencement of the Action Relating to Resolution to be Inactive
Section 88L: Other Provisions Relating to Resolution
Section 88M: Final Description of the Work Relating to Resolution to be Submitted
Section 88N: Exchange of Reciprocal Assistance
Section 88O: Application for Liquidation May be Made

SECTION 88A & 88B: POWER & FORMATION FOR BANK RESOLUTION

SECTION 88A: POWER OF THE BANK TO CARRY OUT RESOLUTION



CONDITIONS FOR BANK RESOLUTION (TAKING CONTROL)

- It is unable to pay its liabilities fully or partially.
- Supervisory analysis indicates inability to meet liabilities within **90 days**.
- Its liabilities exceed net assets.
- Sustained losses cannot be covered by the prescribed capital or funds.
- The Bank has decided to initiate resolution under Section 86G.

ONLY THE BANK MAY CARRY OUT RESOLUTION RELATING TO CLAIMS OF:



Depositors



Secured creditors

EXPENSES OF RESOLUTION





paid from proceeds of sale of the institution's property.



SECTION 88B: FORMATION OF SPECIAL ADMINISTRATION TEAM



SPECIAL ADMINISTRATION TEAM





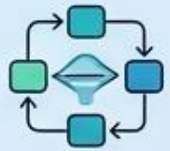
Team may consist of up to **3 qualified persons**.





Team member dismissal conditions:

- dismissed if performance is unsatisfactory, according to prescribed procedures.





A **reasonable opportunity to be heard** must generally be provided before dismissal.



Replacement Appointment:
If a member is dismissed before completing resolution work, the Bank may appoint a replacement.





TEAM REMUNERATION:
Team members receive prescribed remuneration, linked to their performance.



SECTION 88C:
FUNCTIONS, DUTIES AND POWERS OF SPECIAL ADMINISTRATION TEAM

The Special Administration Team has all powers of the General Meeting, Board of Directors, CEO and other office-holders of the concerned institution.

POWERS RELATING TO RESOLUTION

The Team may:



- Sell all or part of unsold shares to new persons.
- Transfer operations to another institution or establish a bridge institution/unit.



- Sell all or part of the institution's business, transactions or properties, including subsidiaries.



- Sell properties or rights held by other persons.



OTHER POWERS

The Team may:







Require necessary documents and information.



Transfer ownership of shares and financial instruments.



Transfer powers, properties or liabilities to another person.



Revoke shares or financial instruments.



Revoke shares or financial instruments.



Transfer/eell shares or ownerahip interests to another person.



Issue preference shares and capital instruments.



Take necessary measures to pretect the institution's property.

NO PRIOR CONSENT GENERALLY REQUIRED



The Team is not required to:

- Obtain prior approval from shareholders, depositers or creditors.
- Notify any person, except where notification is specifically required under this Chapter.

TIME LIMIT FOR RESOLUTION



Resolution should generally be completed within 1 year.

The Bank may extend the period on justified grounds.



OPERATIONAL & ADMINISTRATIVE POWERS

The Team may:

- Continue necessary operations, except collecting new deposits or providing new credit.
- Postpone or suspend particular operations.
- Obtain loans, with or without mortgaging property.
- Obtain loans, with or without mortgaging property.
- Limit or prevent payment employees and consultants.
- Call meetings/assemblies of depositors or creditors.
- Appoint or dismiss employees and consultants.
- Defend legal proceedings in the institution's name.
- Perform other necessary resolution activities.

ACCESS AND CONTROL



The Team has full access and control over:

- Offices
- Records
- Properties
- Information/IT systems of the institution.

MERGER



A proposal for merger must be submitted to the Bank.

The Bank shall make the decision on the proposal.

PAYMENT OF DEPOSITS AND CREDITORS



Payment of matured deposit liabilities shall be arranged according to available funds.

Depositors and creditors having the same priority/rank must be treated equally.

CLAIMS AND PERSONAL PROPERTY



Procedures for:

- Determining validity of claims
- Making payments
- Determining liabilities
- Returning personal property shall be as prescribed.

SALE OF PROPERTY



The Team may sell properties through transparent methods such as:

- Auction
- Sealed bid
- Negotiation
- Other prescribed methods

A minimum price must be determined according to prescribed procedures.

REPORTING TO THE BANK



The Team must periodically submit to the Bank:

- Description of resolution activities
- Financial accounts
- Property sale plans
- Estimated liabilities

DELEGATION OF CERTAIN FUNCTIONS



The Team may delegate specified tasks to a body/company established under existing law for property management, including:

- Issuing new shares
- Selling properties
- Securitization
- Estimating liabilities.

SECTION 88D & 88E: RESOLUTION POWERS & NOTICES



SECTION 88D: AUTOMATIC SUSPENSION OF POWERS DURING RESOLUTION

DIRECTORS

CEO

OTHER OFFICIALS HOLDING RELEVANT POSTS

SPECIAL ADMINISTRATION TEAM

TEAM MAY DEPUTE ANY SUSPENDED PERSON

thereby restoring their authority for those duties

IF A DEPUTED PERSON FAILS TO COMPLY...

TEAM MAY DISMISS THEM

DISMISSED PERSON IS NOT ENTITLED TO REMUNERATION OR FACILITIES FROM THE INSTITUTION

SECTION 88E: NOTICE AND REGISTRATION OF RESOLUTION WORK

COMMENCEMENT OF RESOLUTION

WITHIN 2 DAYS, SPECIAL ADMINISTRATION TEAM MUST NOTIFY EVERY OFFICE OF THE INSTITUTION

THE NOTICE MUST INCLUDE:

- **Date and time** when Bank control/resolution began
- **Details of authority revoked** from previously authorized persons
- **Method, time and place for depositors to submit claims** (including claims exceeding insured/secured limits)
- **Method, time and place for reclaiming insured/secured deposits**
- **Method, time and place for secured creditors** to submit claims

PUBLISH PUBLICLY ONCE A WEEK FOR 4 CONSECUTIVE WEEKS IN A NATIONAL DAILY NEWSPAPER

TEAM MUST PROVIDE INFORMATION TO:

- THE BANK
- COMPANY REGISTRAR'S OFFICE
- RELEVANT STOCK EXCHANGE
- DEPOSIT-INSURING INSTITUTION
- OTHER CONCERNED BODIES

institution's status and changes in authority

KEY NUMBERS:

2 DAYS → Initial notification

4 WEEKS → Weekly public notice

SECTION 88F: PREPARATION OF NEW BALANCE SHEET



Net realizable value of assets/property

BALANCE SHEET

PRIORITY

Value of liabilities adjusted according to the priority sequence under Section 88I

BANK

The method for determining liabilities shall be as prescribed.
The Team shall submit the new balance sheet and detailed accounts to the Bank in the prescribed manner.

SECTION 88G: RECOMMENDATION FOR IMPROVING FINANCIAL CONDITION

Resolution process may have negative impact on overall financial stability

Team reports to the Bank.

The proposed future course of action

REPORT

The status of the institution's assets and liabilities

Decision

If the Bank considers that:

1. There is a systemic financial risk, and
2. The institution's condition can be improved through Government investment

the Bank may recommend Government investment along with its opinion/ recommendation.

If Government investment improves the institution's financial condition:

- The Government must recover its investment within a maximum of 5 years.
- Recovery shall be through sale to the private sector by bidding.

SECTION 88H: ESTABLISHMENT OF BRIDGE INSTITUTION OR UNIT

Where appropriate under Section 88C(2)(b)



Special Administration Team may request the Bank to:

1. Establish a bridge institution
2. Establish/fix a bridge unit

department

Establish/fix a bridge unit

CHECKMARK (YES)

X (NO)

BANK

The Bank decides whether to accept or reject the request.

SECTION 88I: SEQUENCE OF PRIORITY OF PAYMENT

After evaluating the proceeds from sale of the institution's property, available funds shall be distributed in the following order of priority:

1 PRIORITY 1: RESOLUTION EXPENSES

- Expenses of the Bank and Special Administration Team
- Staff remuneration and facilities
- Professional fees
- Other costs related to resolution

2 PRIORITY 2: INSURED DEPOSITS

Amounts up to the insured deposit limit are paid to depositors. Payment may also be made to the deposit insurance institution that has already paid depositors on their behalf.

3 PRIORITY 3: REMAINING DEPOSITS

Deposits remaining after payment of the insured portion are paid next.

4 PRIORITY 4: SECURED CREDITORS

Approved claims of valid secured creditors are paid according to law.

ALLOCATION: 2% RESERVE FOR COMPENSATION

The Special Administration Team must deposit 2% of the sale proceeds into a separate account.

This amount is reserved for potential compensation liability under Section 88L(4).

5 PRIORITY 5: TAXES, CHARGES, & FEES

Remaining funds are first used for taxes, charges and fees payable under prevailing law.

6 PRIORITY 6: REMAINING DISTRIBUTION

The remaining amount is then distributed by the liquidator appointed under Section 88O(3).

Distribution is made proportionately among:

- Other creditors
- Approved claimants
- Shareholders Owners

Distribution follows the prescribed priority order.

1) PROPORTIONATE DISTRIBUTION

If available funds are insufficient to fully satisfy a particular priority level, the funds are **distributed proportionately among claimants of the same priority.**

2) EQUAL TREATMENT

Depositors and secured creditors must be treated equally regardless of their:

- Nationality
- Place of residence/domicile
- Jurisdiction

3) SECURED CREDITORS DETAILS

A secured creditor who submits a claim within the prescribed time receives priority to the extent that proceeds from the secured asset remain available.

Any uncovered portion of the secured creditor's claim is treated equally with other creditors' claims.

PRIORITY FLOW SUMMARY

Resolution expenses → Insured deposits → Remaining deposits → Secured creditors → 2% reserve → Taxes/charges/fees → Other creditors/claimants → Shareholders/owners

SECTION 88J: EFFECT AFTER SPECIAL ADMINISTRATION GROUP TAKES CONTROL

SUSPENSION OF CLAIMS



AFTER THE SPECIAL ADMINISTRATION GROUP TAKES CONTROL:

- Claims by depositors/creditors for payments that cannot be received under Section 88I are automatically suspended.
- Actions to establish rights over the institution's assets in respect of such claims are also suspended.

EXCEPTIONS TO SUSPENSION



TRANSACTIONS INVOLVING:

- Settlement, payment and clearing systems; and
- Asset transfers and settlement processes — not suspended

NO NEW RIGHTS BEFORE RESOLUTION



EXCEPT FOR LIABILITIES OR SECURITY RIGHTS CREATED WITHIN SIX MONTHS BEFORE FORMATION OF THE SPECIAL ADMINISTRATION GROUP, NO PERSON SHALL BE DEEMED TO HAVE ACQUIRED RIGHTS OVER THE ASSETS, LIABILITIES OR SECURITIES OF THE INSTITUTION FOR THE PURPOSE OF RESOLUTION.

Rights Created by Administration Group:
The above restriction does not prevent the Special Administration Group from creating liabilities or security rights over the institution's assets during resolution.

SHAREHOLDERS' RIGHTS INACTIVE



RIGHTS OF SHAREHOLDERS AND OTHER OWNERSHIP HOLDERS REMAIN INACTIVE UNTIL COMPLETION OF THE RESOLUTION PROCESS.

SECURITIES LAW NOT APPLICABLE



THE PREVAILING LAW RELATING TO SECURITIES DOES NOT APPLY TO A COMMERCIAL BANK OR FINANCIAL INSTITUTION UNDERGOING RESOLUTION AFTER FORMATION OF THE SPECIAL ADMINISTRATION GROUP.

SECTION 88K: ACTIONS PRIOR TO COMMENCEMENT OF RESOLUTION TO BE INACTIVE

1. TRANSACTIONS THAT MAY BE INACTIVATED



THE SPECIAL ADMINISTRATION TEAM MAY INACTIVATE TRANSACTIONS AFFECTING THE PROPERTY OF THE INSTITUTION OR TRANSFERS TO THIRD PARTIES WHERE:

(a) DETRIMENTAL TRANSACTIONS



TRANSACTIONS OR AGREEMENTS MADE BEFORE RESOLUTION MAY ADVERSELY AFFECT THE INTERESTS OF DEPOSITORS OR CREDITORS.

(b) FREE TRANSFERS TO RELATED PERSONS — 5 YEARS



TRANSFERS MADE WITHOUT CONSIDERATION TO SHAREHOLDERS, DIRECTORS, OFFICE-BEARERS OR THEIR RELATIVES WITHIN 5 YEARS BEFORE COMMENCEMENT OF RESOLUTION.

(c) FREE TRANSFERS TO THIRD PARTIES — 3 YEARS



TRANSFERS MADE WITHOUT CONSIDERATION TO THIRD PARTIES WITHIN 3 YEARS BEFORE COMMENCEMENT OF RESOLUTION.

(d) UNFAVOURABLE TRANSACTIONS — 3 YEARS



TRANSACTIONS MADE WITHIN 3 YEARS BEFORE RESOLUTION THAT:

- PROVIDE LESS BENEFIT TO THE INSTITUTION; OR
- GIVE A MORE FAVOURABLE BENEFIT TO THE OTHER PARTY.

(e) ACTS AFFECTING DEPOSITORS' RIGHTS — 5 YEARS



ACTS CARRIED OUT WITHIN 5 YEARS BEFORE RESOLUTION THAT ADVERSELY AFFECT THE INTERESTS OR RIGHTS OF DEPOSITORS.

(f) PROPERTY TRANSFERS FOR CREDITOR'S BENEFIT — 6 MONTHS



TRANSFERS OF PROPERTY IN THE NAME OF A CREDITOR, INTENDED TO:

- BENEFIT ANOTHER PERSON IN RELATION TO THE INSTITUTION'S LOAN; OR
- INCREASE THE AMOUNT RECOVERABLE BY THE CREDITOR DURING LIQUIDATION, WITHIN 6 MONTHS BEFORE COMMENCEMENT OF RESOLUTION.

Exception

THIS SECTION DOES NOT APPLY TO PAYMENTS OF DEPOSITS UP TO THE AMOUNT COVERED BY DEPOSIT INSURANCE AND SECURITY.

2. TRANSACTIONS WITH DIRECTORS/RELATED PERSONS — 1 YEAR



THE SPECIAL ADMINISTRATION TEAM MAY:

- REVOKE TRANSACTIONS MADE WITH A DIRECTOR, OFFICE-BEARER OR CLOSE RELATIVE WITHIN 1 YEAR BEFORE RESOLUTION; OR
- RECOVER THE AMOUNT PAID ALSO, WHERE THE TRANSACTION ADVERSELY AFFECTS THE INTERESTS OF DEPOSITORS OR CREDITORS.

3. TRANSACTIONS THAT CANNOT BE REVOKED



THE SPECIAL ADMINISTRATION TEAM SHALL NOT REVOKE TRANSACTIONS THAT:

- WERE CONDUCTED IN THE INSTITUTION'S ORDINARY COURSE OF BUSINESS;
- INVOLVED APPROPRIATE AND SUFFICIENT CONSIDERATION/PAYMENT; OR
- HAD NOT BEEN PAID FOR BEFORE THE INSTITUTION ENTERED RESOLUTION.

4. RETURN OF PROPERTY OR EQUIVALENT AMOUNT



IF A TRANSACTION/TRANSFER IS REVOKED:



- THE PERSON RECEIVING THE PROPERTY MUST IMMEDIATELY RETURN IT.
- IF THE PROPERTY IS NO LONGER AVAILABLE, THE PERSON MUST DEPOSIT AN AMOUNT EQUAL TO ITS VALUE WITH THE INSTITUTION. A PERSON WHO ACTED WITH INTENTION AND FAILS TO RETURN THE PROPERTY/VALUE SHALL HAVE A CLAIM FIXED AGAINST THEM EQUAL TO THAT OF A SECURED CREDITOR.

4. RETURN OF PROPERTY OR EQUIVALENT AMOUNT



IF A TRANSACTION/TRANSFER IS REVOKED:

- THE PERSON RECEIVING THE PROPERTY MUST IMMEDIATELY RETURN IT.
- IF THE PROPERTY IS NO LONGER AVAILABLE, THE PERSON MUST DEPOSIT AN AMOUNT EQUAL TO ITS VALUE WITH THE INSTITUTION.



A PERSON WHO ACTED WITH WRONGFUL INTENTION AND FAILS TO RETURN THE PROPERTY/VALUE SHALL HAVE A CLAIM FIXED AGAINST THEM EQUAL TO THAT OF A SECURED CREDITOR.

5. RECOVERY OF UNDERVALUED PROPERTY



IF PROPERTY WAS TRANSFERRED TO A PERSON FOR LESS THAN MARKET VALUE AND SUBSEQUENTLY TRANSFERRED TO A THIRD PERSON, THE SPECIAL ADMINISTRATION TEAM MAY RECOVER THE PROPERTY BY PAYING THE INVESTMENT COST TO THE CURRENT HOLDER.

6. TRANSFER OF PROPERTY/RIGHTS

DURING RESOLUTION, THE SPECIAL ADMINISTRATION TEAM MAY GIVE A WRITTEN REQUEST/INSTRUCTION TO THE RELEVANT AUTHORITY TO TRANSFER:

- MOVABLE PROPERTY;
- IMMOVABLE PROPERTY; OR
- RIGHTS, IN THE NAME OF THE CONCERNED COMMERCIAL BANK OR FINANCIAL INSTITUTION.

THE CONCERNED AUTHORITY MUST COMPLY WITH THE WRITTEN INSTRUCTION.

7. CONTINUATION OF ESSENTIAL SERVICES

DURING RESOLUTION, ESSENTIAL SERVICES SUCH AS:



CANNOT BE INTERRUPTED MERELY BECAUSE PAYMENT HAS NOT BEEN RECEIVED.

THE SPECIAL ADMINISTRATION TEAM MUST PAY THE CONCERNED SERVICE PROVIDER THE ARREARS DETERMINED TO BE PAYABLE FOR GOODS AND SERVICES PROVIDED BEFORE COMMENCEMENT OF RESOLUTION.

SECTION 'SECTION 88L: OTHER PROVISIONS RELATING TO RESOLUTION

CLAIMS GOVERNED BY THIS ACT



Notwithstanding any existing law, ali claims relating to a commercial bank or financial institution undergoing resolution shall be dealt with according to this Act.

PROTECTION OF SPECIAL ADMINISTRATION TEAM'S ACCESS AND CONTROL



No person shall bar, obstruct, interrupt or interfere with the Special Administration Team's access and control.

If such obstruction occurs, the Team may request assistance from the concerned administrative body or police.

The concerned authority must provide necessary security and assistance to maintain the Team's access and control over:

- Office and property
- Records and account books
- Information technology systems
- Other relevant information



RIGHT TO CLAIM COMPENSATION



If the Special Administration Team submits its report to the Bank or is dissolved for any reason, a person suffering loss due to actions of the Special Administration Team or the Bank under this Chapter may apply to the court for compensation.

The application must be filed within 60 days from the date of dissolution.



RIGHT TO CLAIM COMPENSATION TO COMPENSATION

If the Special Administration Team submits its report to the Bank or is dissolved for any reason, a person suffering loss due to actions of the Special Administration Team or the Bank under this Chapter may apply to the court for compensation.

The application must be filed within 60 days from the date of dissolution.



GROUNDS FOR COURT-ORDERED COMPENSATION

The court may order compensation where the loss resulted from:



(a) Exceeding jurisdiction while carrying out resolution activities;



(b) Failure to follow this Act in conducting the resolution process; or



(c) Acting without sufficient grounds or reas while exercising resolution powers.

TRANSPARENT AND JUSTIFIED EXERCISE OF POWERS

The Special Administration Team must exercise its powers in a transparent and justified manner, with the objective of protecting the interests of depositors and other claimants.



TRANSPARENT AND JUSTIFIED EXERCISE OF POWERS

The Special Administration Team must exercise its powers in a transparent and justified manner, with the objective of protecting the interests of depositors and other claimants.



REMUNERATION AND FACILITIES

The Bank shall determine the remuneration and facilities provided to:

- Representatives of the Bank or Special Administration Team; and
- Persons assisting them during the resolution process.



PROTECTION FROM LAWSUITS



Depositors, shareholders and creditors cannot file lawsuits against Directors or office-bearers of the concerned commercial bank or financial institution for actions performed to assist the resolution process while implementing decisions of the Bank or Special Administration Team.

POWER TO OBTAIN INFORMATION

From any:

- Person
- Firm
- Company
- Government institution
- Private-sector institution



Upon the Bank's order, information including key management information, technology locations, sensitive information and major activities of the institution must be provided.

The concerned person, firm, company or institution has a duty to provide the information requested by the Bank.

FINAL REPORT, ASSISTANCE, AND LIQUIDATION UNDER SECTIONS 88M, 88N, & 88O

SECTION 88M: FINAL REPORT ON RESOLUTION WORK

SUBMISSION OF FINAL REPORT



Special Administration Team

After Special Administration Team:

- Completes resolution work;
- Completes tenure; OR
- Is dissolved for any reason

→ Submit report to the Bank within 15 days

REPORT CONTENTS:

- ☑ Details of work & actions performed
- ☑ Profit & loss account of the concerned institution
- ☑ Sources and utilization of funds/financial transactions
- ☑ Necessary recommendations for Bank's future action.

BANK'S DECISION AFTER REPORT



Arrange management/ operation under Section 88G

OR

Apply to the court for liquidation under Section 88O

SECTION 88N: EXCHANGE OF RECIPROCAL ASSISTANCE





Request for Foreign Assistance

With prior Bank approval, Special Administration Team may request assistance from relevant foreign authority during resolution.



Assistance & Recognition of Foreign Actions

With prior Bank approval, Team may:

- Assist in resolution-related actions in another country;

OR Take necessary steps to recognize actions of an authorized foreign authority (reciprocity).

Claimants must be treated equally.



Exchange of Information

With prior Bank approval, Team may exchange information with relevant foreign authorities (Recovery of desolution plans, etc.). Confidentiality & sensitive data protected.



Coordination for Cross-Border Institutions

Bank and deposit insurance institution may coordinate regarding resolution of:

- Domestic institution having a branch/office abroad;

OR Foreign institution having a branch/office in Nepal.



Reciprocal Agreements

Where a reciprocal agreement exists, Bank/institution and foreign authority may exchange information or assistance regarding incidents affecting institution.



Government-Level Assistance

If cooperation with foreign central bank, financial institution, or deposit insurer requires government action, Bank shall recommend to Government of Nepal to make arrangements.

SECTION 88O: APPLICATION FOR LIQUIDATION



Bank May Apply for Liquidation



- After completion of resolution process;
- Even before completion, if Bank believes institution cannot be properly operated (based on Special Administration Team recommendation or other grounds).

INSOLVENCY ACT PROVISION NOT APPLICABLE



Section 13(10)(3) of the Insolvency Act, 2063 shall not apply to the concerned institution when Bank applies.



APPOINTMENT OF LIQUIDATOR



Upon Bank's application, court may order appointment of a liquidator to carry out liquidation of the institution.



Chapter 10 Balance Sheet, Auditing and Report

Section 89: Fiscal Year
Section 90: Account System
Section 91: Annual Report
Section 92: Auditing
Section 93: Submission of Report to Government of Nepal
Section 94: Report on Monetary Policy

CHAPTER 10: BALANCE SHEET, AUDITING AND REPORT

Section 89: Fiscal Year

- The Bank's fiscal year shall be the same as the fiscal year of the Government of Nepal.



Section 90: Accounting System

1. The Bank shall maintain accurate profit and loss accounts in accordance with Nepal Accounting Standards.
2. Where Nepal Accounting Standards do not cover a particular matter, international accounting standards shall be used as the basis.



Section 91: Annual Report

1. The Bank shall prepare an annual report for each fiscal year, including:
   - Balance sheet;
   - Profit and loss statement; and
   - Related particulars.
2. The annual report must be submitted to the Government of Nepal within 4 months after the end of each fiscal year.



Section 92: Auditing

1. The Auditor General shall audit the accounts of the Bank.
2. The Board may arrange internal auditing by an external auditor, where appropriate.
   - Such audit shall follow internationally accepted accounting standards/practices.



Section 93: Submission of Reports to Government

1. Within 4 months after the end of each fiscal year, the Bank shall submit to the Government of Nepal:
   (a) Audit Report
   (b) Report on its activities
   (c) Report on economic and financial position
2. The Bank shall publish its monthly balance sheet within 15 days after the end of each month.



Section 94: Monetary Policy Report

The Bank shall publish an annual monetary policy report for the general public containing:

(a) Review and evaluation:
Comprehensive review and evaluation of the monetary policy implemented in the previous year.

(b) Future policy:
Justification and analysis of the monetary policy proposed for the following year.



Chapter 11 Offences, Punishment and Proceedings

Section 95: Acts Deemed to be Offences Under this Act
Section 96: Penalty and Punishment
Section 97: Government of Nepal to be Plaintiff
Section 98: Bank to Provide Information
Section 99: Fine for Violation of the Bank's Regulation
Section 100: Punishment for Violation of the Bank's Regulation
Section 101: Procedures for Pecuniary Penalty and Punishment
Section 102: Filing Appeals

ACTS, OFFENCES, AND PENALTIES: BANKING REGULATIONS IN NEPAL

SECTION 95: ACTS DEEMED TO BE OFFENCES

THE FOLLOWING ACTS CONSTITUTE OFFENCES UNDER THIS ACT:

(1) Accepting deposits, granting credit, or issuing debentures/financial instruments against the Act, Rules, bye-laws, orders or directives.

(2) Charging or paying interest contrary to the policy determined by the Bank.

(3) Issuing, distributing or circulating fake, fraudulent, counterfeit, duplicate or copied currency, or being involved in such acts.

(4) Conducting transactions without the required licence from the Bank.

(3) Issuing, distributing or circulating fake, fraudulent, counterfeit, duplicate or copied currency, or being involved in such acts.

(4) Conducting transactions without the required licence from the Bank.

(5) Obstructing the clearing and settlement process under Chapter 9A.

(6) Any person who otherwise fails to comply with this Act, Rules, bye-laws, orders or directives issued under it also commits an offence.

SECTION 96: PENALTY AND PUNISHMENT

FOR AN OFFENCE UNDER SECTION 95(1) OR (2):

- Fine up to 3 times the value of the property involved, or
- Imprisonment up to 3 years, or
- Both.
- Property related to the offence may also be confiscated.



WHERE THE VALUE OF THE PROPERTY CANNOT BE DETERMINED:

- Fine up to Rs. 1 million, or
- Imprisonment up to 3 years, or
- Both, depending on the seriousness of the offence.



- If the offence is committed by a firm, company or institution, the prescribed punishment shall be imposed on its chief person/office-bearer responsible.

A person, firm, company, institution or responsible office-bearer who:

- Attempts to commit an offence under Section 95; or
- Aids or assists in committing it, shall receive half of the punishment prescribed for the principal offender.

SECTION 97: GOVERNMENT OF NEPAL TO BE PLAINTIFF

- Cases relating to offences under Section 95 shall be filed by the Government of Nepal as plaintiff.
- Such offences shall be treated as cases included in Schedule 1 of the Government Cases Act, 2049 (1992).

SECTION 98: BANK TO PROVIDE INFORMATION

If the Bank receives information from any source that a person has committed an offence under Section 95, it shall provide the information in writing to the Government of Nepal or the concerned authority for necessary action.

SECTION 99: FINE FOR VIOLATION OF BANK REGULATIONS

If a commercial bank or financial institution licensed under this Act violates any order or directive of the Bank, or regulations/bye-laws made under the Act:

The Bank may impose a fine up to the amount involved in the violation.

FINE

If the violation is committed by a Director, official or employee of the commercial bank or financial institution:

The fine shall be imposed on the concerned Director, official or employee.

PERSONAL FINE

Section 100: Punishment for Violation of Bank Regulations

1. PUNISHMENT FOR COMMERCIAL BANKS/FINANCIAL INSTITUTIONS

If a licensed commercial bank or financial institution violates an order, directive, regulation or bye-law issued by the Bank, the Bank may impose one or more of the following:



(a) Reprimand/ Warning

Issue a reprimand or written warning.



(b) Undertaking for Reform

Require the Board of Directors to give an undertaking to take corrective measures.



(c) Corrective Order

Order the institution to:

- Stop repeated violations;
- Refrain from future violations; and
- Take corrective measures.



(d) Employee Action

Suspend or terminate the services of concerned employees of the Bank.



(e) Dividend Restriction

Prohibit distribution in of dividends to shareholders.



(f) Banking Restriction

Prohibit the institution from:

- Accepting deposits;
- Granting loans and advances.



(g) Business Restriction

Impose full or partial restrictions on business transactions.



(h) Licence Action

Suspend or revoke the licence of the commercial bank or financial institution.

2. PUNISHMENT FOR DIRECTORS, OFFICIALS OR EMPLOYEES

Where a Director, official or employee:

- Violates an order, directive, regulation or bye-law of the Bank;
- Acts against the interests of depositors or the general public; or
- Fails to submit required documents, information or data to the Bank or its inspecting/supervising official within the prescribed time, the Bank may impose one or more of the following:



(a) Reprimand

Give a reprimand or written admonition.



(b) Suspension

Suspend the concerned person.



(c) Cash Fine

Impose a fine of up to Rs. 500,000.



(d) Stop Benefits

Order the Board of Directors to stop payment of all benefits, including remuneration and allowances.



(e) Removal/Termination

Order the Board to:

- Remove the Director from office; or
- Terminate the services of the concerned officer or employee.

Section 100: Punishment for Violation of Bank Regulations

Section 101: Procedures for Pecuniary Penalty and Punishment

1. PROCEDURE FOR IMPOSING FINE OR PUNISHMENT

While imposing a fine or punishment under Sections 99 and 100, the Bank shall follow these procedures:

(a) WRITTEN NOTICE



Key details of the notice:

(1) NATURE OF THE OFFENCE;
(2) PROPOSED FINE OR PUNISHMENT;
(3) SUMMARY OF FACTS.

(b) REPLY BY ACCUSED



The concerned institution/person must submit a written reply within 15 days, accepting or denying the charge.

(c) CHARGE NOT SATISFACTORY



(d) CHARGE ACCEPTED/ UNSATISFACTORY REPLY

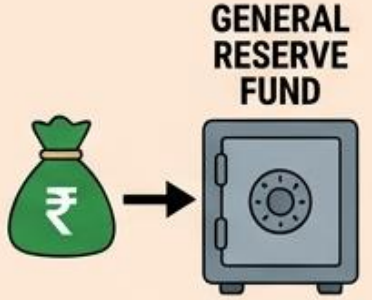
If the charge is accepted or the reply is unsatisfactory, the Bank shall impose the prescribed fine or punishment.

(e) RECOVERY OF FINE



The Bank may order the fine to be deducted directly from the account of the concerned commercial bank or financial institution maintained with the Bank.

2. DEPOSIT OF RECOVERED FINE



Fines recovered by the Bank shall be deposited into the General Reserve Fund.

3. EXCEPTIONS TO PROCEDURE

The above notice-and-reply procedure is not required when imposing the following punishments under Section 100:

Section 100(1)(a)–(d): Reprimand/warning, undertaking for reform, corrective order, and employee suspension/termination.

Section 100(2)(a)–(b): Reprimand/written admonition and suspension of a Director, official or employee.

SECTION 102: FILING APPEALS

A commercial bank, financial institution, Director, official or employee **dissatisfied** with **punishment imposed** under **Sections 99** or 100 may file an **appeal** before the **High Court.**

35 DAYS

Time limit: Within **35 days** from the date of punishment.

Chapter 12
Miscellaneous

Section 103: .....
Section 104: Collection of Data
Section 105: Trust Accounts
Section 106: Actions not to be Invalid
Section 106A: Not to Work in Commercial Bank or Financial Institution
Section 106B: Expert Service to be Provided
Section 106C: Government of Nepal May Give Directives
Section 107: No Responsibility for Acts Done in Good Faith
Section 108: Oath of Office
Section 109: This Act to be Applicable
Section 110: Power to Frame Rules and Bylaws
Section 111: Guidelines to be Framed and Implemented
Section 112: Repeal and Saving

INFOGRAPHIC: KEY SECTIONS ON BANK GOVERNANCE & OPERATIONS

Section 103: Repealed

Section 103 has been repealed.

Section 104: Collection of Data



Data Collection:



- Itself;
- Government of Nepal;
- Other relevant agencies.



authorized persons, institutions, organizations and international associations

Data Management:



The Bank may make necessary arrangements for coordination and improvement in the collection, storage and distribution of data within its jurisdiction.

Section 105: Trust Accounts

The Bank may open and operate separate trust accounts for special purposes.



- Money deposited in a trust account shall be used only for its specified purpose.
- Assets of a trust account shall be used only to meet liabilities of that account.
- Funds or assets from other Bank accounts cannot be used to meet liabilities of a trust account.



Section 106: Actions Not to be Invalid

Actions taken by the Bank or Board shall not become invalid merely because:

- There was an irregularity in the appointment of the Governor, Deputy Governor or Director;
- There was an irregularity in the constitution/form of the Board;
- The position of Governor, Deputy Governor or Director was vacant.

Section 106A: Restriction on Working in Commercial Banks or Financial Institutions

Governor:



A person who has served as Governor shall not work in any capacity in a commercial bank or financial institution.

Post-Retirement Restrictions:

- **Deputy Governor & Executive Director:** 3 YEARS



- **Officer-level staff:** 2 YEARS



Cannot work in a commercial bank/financial or leaving office.

- After the restriction period, a former Deputy Governor, Executive Director or officer must obtain prior approval of the Bank before joining a commercial bank or financial institution.

Exception: These restrictions do not apply to positions appointed by the Government of Nepal.



Section 106B: Expert Service to Government

If requested by the Government of Nepal, the Bank shall provide the services of its experts.





Section 106C: Government May Give Directives

Power to Issue Directives:
The Government of Nepal may issue directives to the Bank concerning:



Currency



Banking



Finance

Duty to Comply:
The Bank is required to comply with directives issued by the Government under sub-section (1).

Section 107: No Responsibility for Acts Done in Good Faith



1. Protection for Good-Faith Actions:
   - The Governor, Deputy Governor, Director, Bank staff and Special Administration Team shall not be personally or collectively liable for acts done in good faith under:
     - This Act;
     - Regulations/bye-laws; or
     - Orders/directives issued under the Act.

   Exception: They shall be personally liable for acts done knowingly or with mala fide intention.
2. Legal Expenses:
   - If a lawsuit is filed against the Governor, Deputy Governor, Director or Bank official for loss arising from an act done or attempted in good faith, the Bank shall bear the legal expenses.
   - The Bank shall not bear such expenses where the action was done knowingly or with mala fide intention.



Section 108: Oath of Office



1. Governor, Directors & Deputy Governor:
   - Governor and Directors must take the oath of office and secrecy before the Chief Justice of the Supreme Court or a Justice designated by the Chief Justice.
   - Deputy Governor takes the oath before the Governor.
   - The oath must be taken before assuming office.
2. Employees and Advisors:
   - Employees or advisors appointed for the first time must take the prescribed oath of office and secrecy before assuming their position.

Section 109: This Act to Prevail

- Notwithstanding other prevailing laws, the provisions of this Act shall prevail wherever applicable.



Section 110: Power to Frame Rules and Bye-laws

1. Rules by the Bank with Government Approval

With approval of the Government of Nepal, the Bank may frame Rules relating to:



(a) Foreign exchange transactions;

(b) Exchange/refund of burnt, torn, defaced or mutilated banknotes and coins;

(c) Transactions between the Government of Nepal and the Bank; and

(d) Other matters necessary to implement the objectives of the Act.

2. Bye-laws by the Board

The Board may frame bye-laws concerning:

(a) Board meeting venue, time and procedures;
(b) Formation and procedures of Board sub-committees;
(c) Appointment, promotion, transfer, dismissal, remuneration, facilities, pension, gratuity, provident fund, leave, conduct, discipline and service conditions of Bank employees;
(d) Delegation of authority by the Board to the Governor and by the Governor to the Deputy Governor/other employees;
(e) Terms and conditions of Bank lease agreements;
(f) Use of the Bank's seal;
(g) Accounts, ledgers, registers, books, records and documents and their formats;
(h) Internal audit and inspection;
(i) Supervision of commercial banks and financial institutions;
(j) Information/details to be submitted by commercial banks and financial institutions;
(k) Bank cash deposits and responsibility for cash;
(l) Filing cases on behalf of the Bank and conducting other business;
(m) Credit control;
(n) Bank expenditure system;
(n1) Merger of commercial banks and financial institutions;
(n2) Prompt corrective/reformative action for commercial banks and financial institutions;
(n3) Credit information;
(n4) Payment and account settlement;
(n5) Clearing and settlement;
(n6) Licences issued by the Bank; and
(o) Other matters necessary to implement the objectives of the Act.



3. Orders, Directives, Procedures and Guidelines

For matters not covered by sub-sections (1) and (2), the Governor may issue orders, directives, procedures and guidelines under the Act.



4. Information to Government

The Bank shall forward to the Government of Nepal for information:

- Bye-laws framed by the Board; and
- Orders/directives issued by the Governor.



5. Publication

The Bank shall publish and circulate the bye-laws, orders and directives issued under this section.



Section 111: Guidelines to be Framed and Implemented

- The Bank may, from time to time, frame and implement necessary guidelines to achieve the objectives of the Act.
- Such guidelines must be consistent with this Act, Rules and Bye-laws made under it.



Section 112: Repeal and Saving

1. Acts Repealed

The following Acts are repealed:

(a) Nepal Rastra Bank Act, 2012 (1955)
(b) Currencies Act, 2040 (1983)



2. Saving of Previous Actions

All acts and activities carried out under the repealed Acts shall be deemed to have been carried out under this Act.



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For notes, mail - govintamang2054@gmail.com